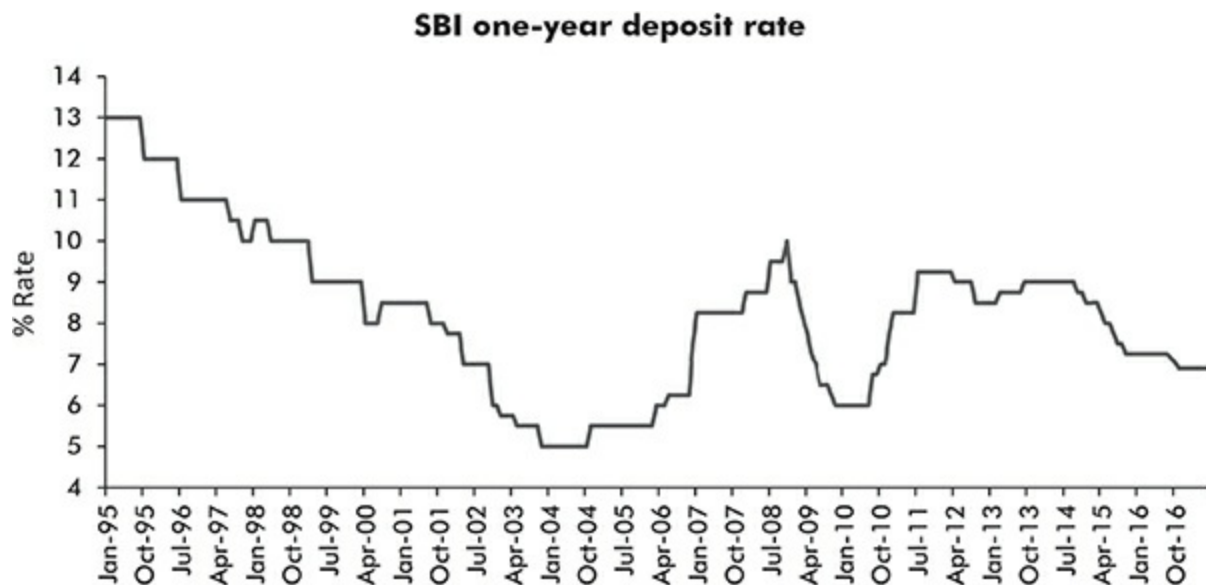


Exhibit 30: State Bank of India's one-year deposit rates are a proxy for interest rates in India



Source: Bloomberg

The 2003–13 real estate boom established residential real estate as an asset class by itself. This is why Mr Talwar ended up buying another house in Noida even though he owned the spacious flat in which he and his family were residing. In spite of the positive publicity given to this asset class in weekend newspaper supplements, in spite of the regular TV shows on investing in real estate and despite the pitch from the ‘friend’ who has made a fortune with his third flat in Mumbai, real estate is a uniquely dangerous asset class for investors for the following reasons:

Investment size: You can buy a stock for Rs 500 and a mutual fund for Rs 5000, but you need to have a few lakhs with you for investing in the cheapest of properties. This makes real estate a rich man’s asset class where high ticket sizes prevent widespread adoption of the asset class.

Liquidity: Compared to financial assets such as stocks and bonds, and even compared to physical assets such as gold and silver, real estate is an illiquid asset class. You can sell a stock on the exchange, sell gold to buyers,